

slowdowns. Buffett would rather err on the side of financial quality than risk the welfare of Berkshire's owners by increasing the risk that is associated with high debt levels.

Despite his conservative stance, Buffett does not have a phobia about debt. In fact, he prefers to borrow money in anticipation of using it farther down the road, rather than after a need is announced. It would be ideal, he notes, if the timing of business acquisitions profitably coincided with the availability of funds, but experience has shown that just the opposite occurs. Cheap money has a tendency to force asset prices higher. Tight money and higher interest rates raise liability costs and often force the prices of assets downward. Just when the best prices are available for purchasing businesses, the cost of money (higher interest rates) is likely to diminish the attractiveness of the opportunity. For this reason, Buffett says, companies should manage their assets and liabilities independently of each other.

This philosophy of borrowing now in the hope of finding a good business opportunity later will penalize near-term earnings. However, Buffett acts only when he is reasonably confident the return of the future business will more than offset the expense of the debt. And there's another consideration: Because the availability of attractive business opportunities is limited, Buffett wants Berkshire to be prepared. "If you want to shoot rare, fast-moving elephants," he advises, "you should always carry a gun."²²

Buffett does not give any suggestions as to what debt levels are appropriate or inappropriate for a business. This is wholly understandable: Different companies, depending on their cash flows, can manage different levels of debt. What Buffett does say is that a good business should be able to earn a good return on equity without the aid of leverage. Companies that depend on debt for good returns on equity should be viewed suspiciously.

Owner Earnings

"The first point to understand," Buffett says, "is that not all earnings are created equal."²³ Companies with high assets compared to profits, he points out, tend to report ersatz earnings. Because inflation exacts a toll on asset-heavy businesses, the earnings of these companies take on a mirage-like